

DISSENTING OPINION BY M. CALOYANNI.

[*Translation.*]

I regret to state that I am unable in the case submitted to the Court to concur with the opinion of the majority of my colleagues.

The Court has based its judgment upon the second argument put forward by the British Government in support of its objection to the jurisdiction, according to which argument it is claimed that, in so far as the Greek Government has shown that the British Government, by preventing the carrying out of the concessionary contracts entered into by the Palestine Administration with M. Mavrommatis on February 25th, 1926, had not conformed to the international obligations accepted by the Mandatory within the meaning of Article 11 of the Mandate and consequently had committed a breach of the terms of that article, the British Government puts forward, as against this, that the Court, by virtue of Article 11 of the Mandate, has no jurisdiction to adjudicate upon an alleged breach of the international obligations of the Mandatory otherwise than as the result of the exercise the Palestine Administration had made of its full powers, in order to decide as to the public ownership or control of all the natural resources of the country, or of the public works, services and utilities established or to be established therein; now there has been no exercise of these full powers, since no right inconsistent with those of M. Mavrommatis has been granted to Mr. Rutenberg; and the fact that there was delay in approving the plans, even if this delay were due, as the Greek Government alleges, to Mr. Rutenberg's hostility or that of certain British or Palestine officials towards M. Mavrommatis, cannot be considered as an exercise of the said powers.

The Greek Government had, in its Case submitted to the Court on June 4th, 1927, concluded as follows:

1° that by delaying, regardless of the undertakings of the High Commissioner for Palestine, until the month of December, 1926, the approval, which should have been given in August, of the plans deposited by M. Mavrommatis on the

preceding May 5th, and by thus preventing the putting into execution of the concessionary contracts concluded on February 25th, 1926, the British Government, as Mandatory for Palestine, has not complied with its international obligations under Article II of the Mandate ;

2° that by these delays and by the hostility displayed towards him by certain British authorities—which delays and hostility were due to Mr. Rutenberg's opposition—it was rendered materially and morally impossible for M. Mavrommatis to obtain the financing of his concessions, and that he has thus unjustly suffered damage, for the reparation of which the British Government must pay him compensation.

The Greek Government estimates this compensation at the sum of £217,000 to be paid by the British Government, together with interest at 6 % from the filing of the application until the date of payment.

Although the discussions therefore dealt with all the questions raised by the British Government in its Preliminary Objection to the jurisdiction, the Court did not go beyond the question which related to the application and interpretation of the meaning of Article II of the Mandate and the international obligations which resulted therefrom.

The two preceding judgments of the Court determined certain questions relating to the interpretation of Article II of the Mandate, and at the same time established the relationship between Protocol XII of Lausanne and that article.

In these two judgments it was a question of defining the jurisdiction of the Court in the first place, and then of considering the violation of international obligations alleged by the Greek Government.

As regards jurisdiction, the Court had declared that, indeed, certain concessions granted to Mr. Rutenberg had been granted by virtue of the full powers which the Palestine Administration were entitled to exercise, and that, in granting these concessions, the Mavrommatis concessions, whilst not coming within the terms of Article II themselves, came, however, within the jurisdiction of the Court by virtue of Article 26 of the Mandate ; because, indeed, it was a question of international obligations accepted by the Mandatory and provided for under Protocol XII of Lausanne, obligations which the

Palestine Administration was obliged to respect subject to the rich penalty of disregarding and consequently of violating such obligations which would involve reparation to M. Mavrommatis.

As a result of these judgments, the Court ordered the readaptation of the Mavrommatis concessions, having noted that the Rutenberg concessions constituted a violation of the international obligations accepted by the Mandatory, and this principally owing to two facts which were: the grant of certain concessions to Mr. Rutenberg, namely, the concession of September 21st, 1921, and that of September 12th, 1921, both of which comprised an article (29) in which the Court found one of the grounds on which it rested its jurisdiction. The second fact related to the close connection which existed between the exercise of the full powers which Article 11 granted to the Palestine Administration with regard to public control and Zionism, an organization recognized by the Mandate and intended to collaborate towards the development of the country. The Court held, however, that as regards the readaptation, it was upon an agreement entered into between the Parties in relation to the application of Article 4 or Article 6 of the Mandate that it rested its jurisdiction.

In the present case the question of the interpretation of Article 11 of the Mandate is again raised in relation to the Court's jurisdiction.

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Article 1 of the Mandate runs as follows:

"The Mandatory shall have full powers of legislation and of administration, save as they may be limited by the terms of this Mandate."

Article 11:

"The Administration of Palestine shall take all necessary measures to safeguard the interests of the community in connection with the development of the country and . . . shall have full power to provide for public ownership or control of any of the natural resources of the country or of public works, services and utilities established or to be established therein The Administration may

arrange with the Jewish Agency mentioned in Article 4 to construct or operate any public works, services and utilities, and to develop any of the natural resources of the country”

Article 4 :

“An appropriate Jewish Agency shall be recognized as a public body for the purpose of advising and co-operating with the Administration of Palestine in such economic, social and other matters and to *assist* and *take part* in the development of the country”,

always subject to the control of the Palestine Administration.

From a study of these texts it clearly appears that the Zionist Organization is so closely connected with the Palestine Administration that for purposes of developing the country as regards economic questions and as regards works of public utility, it appears to be unable to do without this Organization, unless it consented. It is true that in the French text of Article 11 the indefinite expression *pourra* occurs, but that does not exclude such an obligation, because it refers to the Administration and not to the Jewish Organization ; the words contained in Article 4 are imperative as far as concerns the co-operation of the Jewish Organization in all economic questions and those concerning the development of the country ; indeed, the words employed in the French text are *aura le droit* to do so, the only restriction being, in relation to all these matters, that the Palestine Administration reserves the right of control.

It may thus be seen that any action by the Palestine Administration in its relations with Zionism, and one may add that of persons proved to have intimate relations with the Jewish Organization, assumes a special character and legal significance ; if it is true that the Palestine Administration has reserved the right of control, it follows that this control can only be the control which the Court has declared in its two preceding judgments as being the forcible cancellation or interference in concessions granted by the Administration.

Moreover, the full powers which that Administration exercises are not the full powers of an ordinary public administration ;

they are powers within the meaning always of public control because the purpose of the Mandate is the development of the country, either as regards natural resources, or as regards public works and utilities which have to be undertaken in the public interest. As a result of these preliminary considerations, it becomes necessary to investigate certain points with regard to the nature and purpose of the Mandate.

It is by reference to the spirit of Article 22 of the Covenant of the League of Nations that one finds the essential element underlying the Mandate from the point of view of the full powers in question ; indeed, it is upon the idea of "development" that the principles of Article 22 are mainly based ; whenever the exercise of the full powers is therefore concerned, the Administration has an *obligation* to exercise them, because in the development of the country a great deal of its mission and all its activities are comprised. It could not be otherwise, having regard to the responsibility voluntarily assumed by the Mandatory when accepting the Mandate ; a limit, however, was placed upon the exercise of these full powers : it was the reservation made with regard to the international obligations accepted by the Mandatory ; clearly, this was an application of a principle of international law as against which the powers granted by the Mandate could not be applied ; this *tutorship* had to be determined without, however, for the purpose of its exercise, granting powers which would infringe upon the principles of international law from which international obligations arise. Indeed, the concessions granted prior to October 29th, 1914, had to be maintained and this principle of international law had to be respected. The terms of the treaty guaranteeing the maintenance of this principle on every occasion on which the full powers of control would be exercised, must contemplate not only *positive* acts but also *negative* acts, in this sense that the Palestine Administration would be obliged to respect international obligations accepted by it, not only when it granted concessions, but also when it exercised its powers in a manner which would cause injury to the concessionnaire ; indeed, it could not be otherwise because it would confer upon the Palestine Administration powers of action and at the same time give it complete liberty every time that acts were concerned which constituted,

as regards their application or their effects, a failure to observe these international obligations; and this is all the more true since the purpose itself of *safeguarding* public interests is closely connected with the idea of *control*; the Administration must see that all the natural resources, the use of which it allows, and all public works and utilities, the carrying out of which it authorizes, should tend to safeguard the interests of the community and the development of the country. And, as has been stated, the Palestine Administration is not by the nature of the Mandate itself an administration similar to others. It has a purpose, expressed at the time of the origin of its rights, which differs from that of any other public administrations, in the sense that it could not have acted if there had been no Mandate or this *tutorship*, which was conferred upon it by Article 22 of the Covenant. Owing to the nature *sui generis* of the Mandate and owing to its purpose or special mission of tutorship, a tutorship which dominates the whole of the Mandate, the exercise by the Administration of its full powers becomes *compulsory*, whether it is a question of deciding with regard to a public ownership or public control; in other words, it is obliged, in order to safeguard the interests of the community, to decide whether it has to exercise these full powers by the method of ownership or by that of control; hence, the words "provide" or *décider* have a specific and identical legal meaning. Similarly, the words "ownership" and "control" cannot be separated from the word "public". Furthermore, the words "public control", whilst supporting the restricted meaning attributed to sequestration or intervention by the Court, acquire an obligatory character. That is to say that the Administration, in deciding to exercise its full powers, *must* decide whether it is going to exercise them by sequestration or by intervention; it is obliged to do one or the other.

It follows therefore that in applying these legal conceptions we cannot assimilate the Palestine Administration to an ordinary administration, and we must refuse to confer upon it this ordinary control and apply in its relation a form of control within the meaning the Court has laid down; consequently, in regard to concessions, every *positive* or *negative* act which the Administration accomplishes in the exercise of its full powers

is an act of *public control* within the meaning above indicated. In exercising, therefore, this public control, the Administration must respect the international obligations which it has accepted and which constitute a restriction upon its freedom of action whenever it is a question of determining public control.

In applying these conceptions to Article 11 of the Mandate, this article cannot go beyond the purpose and the nature of the Mandate and the purpose which the Covenant has conferred upon the Mandate. The connection between the provisions of Article 22 of the Covenant and those of the Mandate with regard to the safeguarding of the interests of the community is close and inseparable; the development of the peoples cannot be separated without including one of the essential elements of that development, namely, the economic development of the country. It is a tutorship *sui generis* which the Mandate has imposed upon the Mandatory, who must render a full account of this tutorship. Moreover, this Mandate is a complex tutorship, and one of the aspects of this complexity is the one which relates to the Jewish Organization. This Organization has the *right* to assist and participate in the development of the country; in other words, the Administration, although tutelary, has a necessary collaborator in the accomplishment of its mission; the only right which the Administration has in relation to this assistance and to this participation in the development of the country is the right of control. And when, later on, El-Audja will come to be considered, the importance of Mr. Rutenberg will be observed, owing to his indisputed ties with the Jewish Organization. This tutorship thus constitutes a legal element as regards the mandatory Administration, which is entirely different from that of any ordinary public administration.

In the light of these principles, what relation does Protocol XII of Lausanne bear to Article 11 of the Mandate?

Protocol XII takes the place of Article 311 of the Treaty of Sèvres. The Court in its Judgment No. 2 states: "Later when it became clear that the Treaty of Sèvres would never come into force, whilst the new peace treaty with Turkey had not yet been drafted, in order to avoid delay in the adoption of the Mandate for Pales-

time, the reference to the Treaty of Sèvres was replaced by the words: *international obligations accepted by the Mandatory*. This phrase, therefore, whatever its scope may be in other directions, includes at all events the provisions which, in the future peace treaty with Turkey," (in the present case the Treaty of Lausanne and its protocols), "were to take the place of the provisions of Article 311 of the Treaty of Sèvres."

The Court, after quoting Article 311 of the Treaty of Sèvres, continues as follows in its Judgment No. 2: "As Article 311 of the Treaty of Sèvres dealt with concessions in territories detached from Turkey and as that article is now replaced by Protocol XII of the Treaty of Lausanne, it follows that the 'international obligations accepted by the Mandatory', referred to in Article 11 of the Mandate, certainly include the obligations arising out of Protocol XII of the Lausanne Treaty."

And after having stated that these obligations "limit the powers of the Palestine Administration to provide for public ownership or control of any of the natural resources of the country or of the public works, services and utilities established or to be established therein", the Court adds: "The Court considers that the reservation made in Article 11 regarding international obligations is not a mere statement of fact devoid of immediate legal value, but that, on the contrary, it is intended to afford these obligations, within the limits fixed in the article, the same measure of protection as all other provisions of the Mandate."

The Court adds that these international obligations which are stated and established by Protocol XII of Lausanne only fall within the scope of Article 11 and set in operation the jurisdiction of the Court under Article 26 if the Mandatory has exercised his full power to provide for public ownership or control. By applying the principles set out above, that is to say those relating to the special character of the Mandate, we arrive at the conclusion that Protocol XII always falls within the scope of Article 11 of the Mandate, because the Administration always exercises its full power to provide for public ownership or control.

Moreover, a natural consequence of the foregoing is that there was no need for Protocol XII to state what tribunal should hear disputes arising in connection with the application and interpretation of the Mandate; for being always covered by Article II, the Court would necessarily have jurisdiction and thus there would be no need for an agreement between the Parties to decide which article, 4 or 6, would be applicable, because readaptation or compensation, being international obligations, in the sense indicated above, would come within the scope of Article II, and necessarily involve the jurisdiction of the Court.

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We thus stated certain principles which, whilst maintaining the principles in regard to public control established by the Court's judgments, nevertheless, both by their nature and object, extend the sphere of application to cover the circumstances of the present dispute. For it is important to begin by establishing a parallel between the cases which led up to the two previous judgments and the present case.

Can it be said that the present case is independent of the preceding ones?

The present case concerns, on the one hand, concessions granted to M. Mavrommatis and, on the other hand, concessions granted to Mr. Rutenberg. Furthermore, the concessions granted to M. Mavrommatis constitute the execution of the Court's judgment ordering the readaptation of M. Mavrommatis' concessions of 1914. We are therefore in point of fact concerned with the execution of the international obligations which the Palestine Administration was bound to respect by maintaining the concessions obtained by M. Mavrommatis from the State to which the British Government succeeded as succession State and at the same time as Mandatory. From these points of view, therefore, it is necessary to consider what is the relation in law between the preceding cases and the present one.

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The new contracts, both dated February 25th, 1926, have been concluded between the Palestine Administration and M. Mavrommatis. Have these contracts been granted to M. Mavrommatis in the exercise of the full power belonging to the Palestine Administration? Are the contracts granted to Mr. Rutenberg on March 5th, 1926, incompatible with M. Mavrommatis' new contracts? Does readaptation in itself constitute an international obligation to which the Mandatory must give full effect?

From the principles developed above, it follows that the contracts of February 25th, 1926, granted to M. Mavrommatis, were granted in the exercise of the full power preserved by the Palestine Administration, because they concern the grant of a concession for works of public utility and also the utilization of natural resources. Has this full power been exercised by the Administration to provide for the public control both of natural resources and of works of public utility? According to the principles set out above, there can be no doubt as to this, for the Palestine Administration is under an obligation to exercise its powers of public control owing to the special nature of the public administration; the protection of the interests of the community as regards the development of the country is of a peculiar character owing to the nature of the Mandate. The Administration is not free to act as an ordinary administration could. It must exercise particular care because it has to render account of the manner in which it protects the interests of the community; this it has to do not only under Article 11 but also in accordance with the spirit of Article 22 of the Covenant of the League of Nations.

Again, the Palestine Administration, being closely linked with the Zionist Organization, is obliged, under Article 4, to co-operate with the Jewish Agency in regard to all economic questions and questions concerning the development of the country. But the question of the development of the country is inseparable from that of works of public utility, just as it is also inseparable from questions in regard to the natural resources of the country; when therefore concessions had to be granted to M. Mavrom-

matis which the Administration was obliged to maintain under Protocol XII, it was at the same time bound to remember the interests of the Jewish Agency and, consequently, also the concessions it had already granted to Mr. Rutenberg. The close connection therefore existing between these concessions of Mr. Rutenberg and those of M. Mavrommatis is precisely the Palestine Administration's obligation to confirm what it had already granted by the agreements of September, 1921. This connection obliged the Palestine Administration to do nothing conflicting with its obligations in respect of the Rutenberg concessions which it had already granted and with which the Zionist Organization was closely associated.

The foregoing simply amounts to this: when the question of the plans and their approval came up, the point which irked the Palestine Administration was that the El-Audja source had been granted to Mr. Rutenberg, and this source therefore became the link which established the close connection between the Rutenberg concessions and those granted to M. Mavrommatis on February 25th, 1926.

There was an incompatibility between these contracts, owing to the fact that the former conflicted with M. Mavrommatis' interests, and from this very fact arose the international obligation of the Palestine Administration not to do anything which might prevent the application of the Mavrommatis contracts, which consisted in complete and effectual readaptation, readaptation which was ordered by the Court and which the representative of the British Government promised, should be effected not only without difficulty but under its especial protection. There is no doubt that readaptation, being a condition laid down by the Protocol of Lausanne, constitutes an international obligation; this obligation falls under Article 11 of the Mandate when the full power to provide for public control has been exercised. When there is a question of readaptation, it is necessary to refer to the contracts whereby such readaptation has been effected; since the Palestine Administration exercised public control when granting the concessions, readaptation as regards every stipulation and condition comprised therein, becomes an international obligation, owing to this exercise of the power to provide for control of natural

resources and of works of public utility. In this respect the Administration, at the time of the readaptation, must do all in its power to make this readaptation effectual and must not allow anything to impede it. This therefore amounts to saying that when, in connection with readaptation, there are certain conditions to be fulfilled, these conditions must be entirely protected by the Administration. At the same time the Administration must *effectually* contribute towards their fulfilment in order that the readaptation may be properly carried out and to render possible the *effective* operation of the concessions granted. Accordingly, if in one of the conditions of readaptation there were an essential point requiring acceptance or refusal, that point must be accepted: refusal would engage the responsibility of the Palestine Administration towards the concessionnaire: therefore there would or would not be a breach of international obligations in respect of the plans which were to be approved within a fixed period, according to whether the Palestine Administration did or did not approve them within that period. Again, if it proved impossible to approve the plans owing to some particular circumstance, for instance, owing to discussions raised in connection with some source of water supply (in this case the El-Audja), this very circumstance would constitute the factor requisite for determining the responsibility arising under the international obligations accepted by the Mandatory.

Turning, therefore, to the present case and examining the Rutenberg concessions, it will be seen that the concessions of March 5th, 1926, considered from the standpoint of readaptation and in connection with the approval of the plans, constitute a factor which necessarily compels the mandatory Power to accord to the Mavrommatis concessions a full measure of the protection to which they are entitled by reason of the international obligations accepted under Protocol XII and the exercise of public control constituted by the grant of the Rutenberg concessions of March 5th, 1926, in which it was undertaken to respect the Rutenberg concession of September 12th, 1921, which was described as the "El-Audja Concession".

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On a closer consideration of the facts of the case, it will be seen that the Mavrommatis contracts of February 25th, 1926, were entirely dependent on the fulfilment of two conditions: the approval of the plans and the financing of the concessions. These two conditions were vital to the readaptation, which formed the subject of the concessionary contracts.

It is true that only one of these conditions was an essential part of the contracts, but the two were so closely interconnected that it may be said that they were both vital to the contracts. It was impossible to separate the question of the time-limit for approval from that of the financing of the concessions, for the very simple reason that if the plans were not approved within the times fixed, the financial arrangements were bound to be detrimentally affected, and this circumstance was one of the main causes of the ill-success of the attempts to form the company for the carrying out of the works of public utility for which M. Mavrommatis held a concession.

In this connection, it will be well to recall what has been said in regard to M. Mavrommatis' new contracts. It has been maintained that they destroyed the connection between the 1914 concessions and the international obligations arising under the Protocol of Lausanne which brought them within the scope of Article 11 of the Mandate, giving the Court jurisdiction; it has been said that these are new contracts concluded between the present Palestine Administration and M. Mavrommatis; consequently, they have been substituted for the former ones and they have caused the latter to be deprived of the protection to which they were internationally entitled. It is worth while considering this more closely in order to see whether they are a continuation of the old contracts and whether no link connecting the present situation with the previously existing one has been broken. Now these contracts state categorically that the concessionaire finally and irrevocably abandoned his right to the previous concessions. From this express renunciation it has been deduced that the new contracts have been substituted for the old

ones and consequently that they are entirely new in character. But it is not possible to dispute the fact that M. Mavrommatis, in these contracts, has always had in view the readaptation of his old concessions, that is to say, firstly, their *maintenance* and, secondly, their *putting into operation* after readaptation to the new economic conditions which arose after the war. M. Mavrommatis, as he has said from the outset, and as was stated in the first correspondence exchanged on the question, did not consider the signature of the new contracts as implying anything except the adaptation of the concessions to the economic conditions, a view which, moreover, must have been shared by the British Government; for it is impossible to imagine that the British Government, which had promised to protect M. Mavrommatis against any other concessionnaire, would have itself changed the character of the contracts and substituted for them contracts which no longer corresponded either to the international obligations accepted by it, or to the Court's judgment in regard to which it had not only declared its readiness to comply, but also that it would assist in the readaptation of these very contracts; it follows therefore that both Parties were thinking the whole time of the old concessions and of the rights of M. Mavrommatis protected by Protocol XII and Article II of the Mandate. These expressions, therefore, of categorical renunciation can only have their normal meaning, that is to say, that he is abandoning his rights under the clauses of the old contracts and that new clauses are being substituted for the old ones; but it is indisputable that it remained understood that these new contracts only contemplated readaptation and that, if this were not effected, the whole arrangement became purposeless, and consequently the former situation would be re-established with all its legal consequences. In this connection it is not indeed necessary to construe the meaning of the words "in consideration" in English law; it is a question of expressing the leading idea which is readaptation. The two Mavrommatis contracts of February 25th, 1926, contain the following:

"And whereas it is necessary by reasons of the provisions of the Concessions Protocol attached to the Treaty of

Peace... signed at Lausanne on the 24th day of July 1923 to put the provisions of the said Agreement into conformity with the new economic conditions”;

and in actual fact this readaptation meant nothing else than the maintenance of the old concessions.

If therefore, in the course of readaptation, circumstances arose which, in themselves, contravened the international obligations accepted by the Mandatory, it becomes clear that the latter could be held responsible for their violation; at the present stage of the proceedings, attention cannot be devoted to this violation or to a more considered interpretation of the contracts, as this question belongs to the merits of the case. Nevertheless, as regards the Court's jurisdiction, it is common ground that readaptation is the main object of both Parties. Therefore the objection raised in regard to the renunciation of the previous concessions, being a question concerning the merits, and because it relates to the existence or non-existence of the contracts, cannot validly be supported.

The important point at the present stage of the case is to ascertain whether readaptation has or has not taken place. It is undeniable that this readaptation has not taken place and that consequently the old concessions have not been maintained, for readaptation was a condition essential to their maintenance; from this point of view, therefore, the position is the same as it was before the signing of the contracts and, therefore, it is legitimate to say that it was necessary to ascertain whether the Palestine Administration had respected its international obligations.

In continuation of what has been said above, the Administration, having expressed its full power to provide for public control, has failed to observe its obligations by reason of the fact that it has not readapted the concessions as it was bound to do.

This failure to effect readaptation is closely connected with the objection raised by Mr. Rutenberg in connection with the El-Audja. If he had not made this objection, readaptation would certainly have taken place, and it would seem that, once readaptation had been completely and finally effected, the concessionary contracts would have entered upon the

stage of execution and would have been applied in their entirety; then only would it be possible to discuss the contracts and to raise some other objection to the Court's jurisdiction, an objection which might be based on the following point: would the concessions, in spite of readaptation, still retain their international character under the terms of Articles 11 and 26 of the Mandate and the Protocol of Lausanne? But this is not the time for the Court to consider these questions, which are outside the scope of the present deliberations.

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It was also contended that Mr. Rutenberg's opposition to the use of the El-Audja source by M. Mavrommatis did not establish incompatibility between the concessions granted to M. Mavrommatis and those granted to Mr. Rutenberg on March 5th, 1926; that, consequently, the present case was of a different character to that of the cases which were previously determined by the Court. On a closer scrutiny of this objection, one will observe that there need not be such an incompatibility in all cases; in the preceding cases there had been such an incompatibility because there was an opposition between the Rutenberg concessions and the Mavrommatis concessions. The reason for this opposition was not the same in the present case; but this did not prevent another reason than the one given in the previous judgments becoming the subject upon which the incompatibility between the two concessions was based. Indeed, had the British Government not granted the El-Audja concessions to Mr. Rutenberg before approving the plans of M. Mavrommatis, the grant of the concessions to M. Mavrommatis would have constituted a good title as against Mr. Rutenberg for the use of El-Audja; that is to say that Mr. Rutenberg would have found it impossible to delay the approval of the plans and M. Mavrommatis would have been fully placed in a position to carry out his concessions. Whereas the British Government did just the contrary; whilst it was discussing the plans with M. Mavrommatis, it simultaneously granted concessions to Mr. Rutenberg on March 5th, 1925, which included in Article 3 (A) a confirmation of the concession of

September 12th, 1921; this concession had already been declared to be the basis upon which the jurisdiction of the Court rested in the first case, because it had been granted for two reasons: firstly, because it constituted an exercise of the full powers to provide for public control, and secondly because it was the result of the close collaboration of the Zionist Organization and the Palestine Administration; to the achievement of what practical and material ends, so far as concerns the readaptation, the approval of the plans and the financing of the undertaking was the reservation made in Article 3 (B) of the Rutenberg concession of March 5th, 1926, directed, in which reservation it is stated: "A concession granted by the Jerusalem Municipality in the year 1914 for electric supply or electric tramways" and in which it must be understood that M. Mavrommatis was in question, although he is not mentioned by name? The Palestine Administration gave notice of Mr. Rutenberg's concessionary contracts of March 5th, 1926, only in March, 1927, one year after those of M. Mavrommatis, who, being unaware of the grant of the concessions, had been struggling with Mr. Rutenberg, so much so that the latter had threatened the British Government with seeking a remedy for his claims in the municipal courts; moreover, the British Government has itself later recognized by the approval of the plans not only that M. Mavrommatis was entitled to make use of the El-Audja source, but it also formally recognized that Mr. Rutenberg had no right to oppose such use. It thus becomes evident that the Palestine Administration, by its own acts of recognition, had *negatively* in the exercise of its full powers of control prevented the approval of the plans in the appointed time and consequently had prevented the readaptation of the concessions, which it was obliged to readapt. It would have acted *positively* by approving the plans in the period fixed in the new contracts of the Mavrommatis concessions whilst ignoring Mr. Rutenberg's threats, and besides, it would have acted *positively* if it had given instant protection to M. Mavrommatis' rights by suspending the grant of new concessions to Mr. Rutenberg until the readaptation had been completed and the concessions had been placed in a complete state of executory applicability. Quite to the contrary, the British Government, in

this case as in the previous cases, instead of taking prompt action by *positive* acts, preferred to adopt a method of reconciliation by asking M. Mavrommatis to come to an agreement with Mr. Rutenberg. The other way would have been a *positive* act by the Palestine Administration, an act which would have consisted of immediately approving M. Mavrommatis' plans and, in the event of Mr. Rutenberg's opposition, referring him to M. Mavrommatis so that he should come to an understanding with him and, failing such understanding in the time prescribed for the approval of the plans, approving the plans and then dealing with Mr. Rutenberg's claims; being protected by international obligations, M. Mavrommatis' rights should have had priority over Mr. Rutenberg's private rights even if these might have been connected with the Zionist Organization. Therefore, in exercising the full powers to provide for control over the natural resources, that is to say the El-Audja source, and for the public works and utilities which were dependent upon the El-Audja source, the Palestine Administration has, by adopting a *negative* attitude, made the readaptation impossible because such readaptation depended upon the approval of the plans and that the financing of his undertaking in turn depended upon that approval.

From the preceding it is evident at the present stage of the proceedings, that, *prima facie*, the acts of the Palestine Administration come under Article 11 of the Mandate, which, owing to its relationship with Article 26, confers jurisdiction upon the Court.

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It is for these reasons that I am of opinion that the Court has jurisdiction.
